

INVESTMENT POLICY

Investment policy is a statement about how you will implement and maintain your investment portfolio. It is typically a simple and concise document that it is easy *for you* to understand and follow. Some people write a policy for themselves, and other people go to a professional. The advisor may do a complete financial plan in an effort to find the investment policy that best fits your needs.

Everyone has different financial needs, different investment experiences, and different perceptions of risk. These differences make designing portfolios a multifaceted and challenging exercise. Accordingly, the information in this book cannot cover every scenario, and the asset allocation examples in this book should be viewed as examples, not recommendations. There is no one-size-fits-all solution, especially when people are approaching their preretirement age. It will be up to you to grasp the important concepts that drive a successful asset allocation and then develop a portfolio mix to meet your special needs and circumstances.

Over your lifetime, how you divide your investments among stocks, bonds, real estate, and other asset classes will explain almost all your portfolio risk and return *providing you have the discipline to maintain your plan*. This makes the asset allocation decision one of the most important decisions in your life and is worth spending considerable time understanding. At its root, asset allocation is a simple idea: diversify a portfolio across several unlike investments to reduce the risk of a large loss. Controlling risk through a prudent asset allocation plan and proper portfolio maintenance keeps you focused on the big picture during difficult periods in the market cycle, and this discipline is the key to your long-term investment success.

DIFFERENT ASSET ALLOCATION STRATEGIES

There are three different types of asset allocation strategies. One is a long-term strategy that is the focus of the book. It does not require making short-term predictions about the markets in order to be successful. The other two require short-term market prediction in order to be successful. I leave those to the television talking heads.